

## **Assignment 1**

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Occupational and corporate fraud have been studied for years. Surprisingly, until the 1930's they thought that being a criminal was a genetic trait, displaying how little we knew about a criminal's mind. In the 1950's Donald R. Cressy developed the fraud triangle to better understand the reason criminals come to these conclusions. In this paper I will discuss the fraud triangle and its three elements, the fraud triangles practical use, and insights from the 2024 Report to the Nations.

### **Fraud Triangle**

The Fraud Triangle is a concept developed by Donald R. Cressey that is used to explain why people commit fraud, and how they come to the decision. His explanation is the most widely accepted one for why people decide to commit fraud. The Fraud Triangle has three points that each contribute to why a person commits fraud: opportunity, pressure, and rationalization.

One of the first elements that contribute to a person committing fraud is opportunity. This is when someone is in the position or given permission to access something that has value. In other words, this is the "how" they commit the fraud. An example of this would be Someone working as a bank teller, and the bank owner trusts them with the vault keys. This would be an opportunity for the person to be dishonest and use their privileges for fraud.

Another element of the fraud triangle is pressure. Pressure is normally a non-sharable financial problem that a person feels they cannot solve legitimately. This is the "why" a person commits the fraud. A good example of this would be if someone had a secret gambling problem and needed a way to secretly cover up their debts. This would be the "why" they want to commit the fraud.

The last element of the fraud triangle that contributes to a person committing fraud is rationalization. Rationalization is how the person justifies the actions in their head. This can be justifying whether it is right or deserved. A great example of this is if someone had the mindset that the company

they worked for owed them because they haven't gotten a raise in a year. Therefore, they felt justified, or as if they did nothing wrong because they felt like they were owed.

All of these elements are important when figuring out what makes a person come to the conclusion to commit fraud. The one element that I think could be the most difficult for an organization to control would be the pressure. I think this is because they can reduce opportunities by having separation of roles and required vacations. They can reduce the chance of rationalization by rewarding their employees and having surveys for the employees for ways to improve. Pressure would be hard to control, as this is mostly an outside issue or a non-sharable issue. This makes it hard for the organization to even know about, as most people will not even share these problems with their families

### **Practical Use**

The fraud triangle can be extremely helpful and useful for fraud auditors and examiners in many ways. One way that the fraud triangle helps auditors and examiners is that it can help them identify potential red flags in employees. This can allow them to step in and help prevent an incident from happening. The fraud triangle can also allow auditors and examiners to implement controls in place to prevent fraudulent activity. As explained earlier, knowing that these elements often lead to fraud we can implement changes and other restrictions to ensure fraudulent activity is at a minimum. Most obviously, the fraud triangle also helps examiners and auditors build an investigation or case on a suspect. This helped prove how the suspect came to the conclusion and committed fraud. Another way that the fraud triangle can help auditors and examiners is by focusing on areas of their organization where the risk was higher, due to prioritizing areas that have more elements of the triangle.

### ***RTTN Insights***

In 2024 the Association of Certified Fraud Examiners, ACFE, released A Report to the Nations. This was a comprehensive study of all the cost and effects of occupational fraud on workspaces across the world. This study covered 1,921 cases from 138 countries that involved occupational fraud. One

insight that was very interesting to me was that the total losses were more than \$3.1 billion. This is significant because that is a lot of money for organizations to lose. If prevention and detection were better and we were able to reduce the amount of money lost, organizations would be able to operate better. Another finding that interested me was that 48% of all reported cases included corruption. This could be significant for fraud prevention and detection because this shows that almost half of the cases are corruption. Which could allow them to focus on areas of power, as corruption seems to be an issue. Additionally, the fact that caught my attention was that if there were anti-fraud controls in place the money loss was lower, and the fraud was detected quicker. This proves that even a little bit of control can help an organization save a tremendous amount of money when it comes to fraud. One of the last findings that I found interesting was that 84% of fraudsters displayed at least one behavioral red flag. This is significant because if the organization noticed this and acted, they could have saved a lot of money for their organization.

## References

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